
A-Worthy Education

H2 Economics 9570 Study Suite

Document 42

Multi-Topic Synthesis Map

Cross-Topic Linkages for L3 Evaluation Marks

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Why Synthesis Wins L3

The hardest marks are not for depth in one topic — they are for connecting two.

1 Concept

Most A-Worthy cheat sheets are organised by topic. The 9570 syllabus, however, is examined at the **intersection** of topics. An essay question on inflation almost always implicitly involves exchange rates; a question on monopoly almost always involves consumer welfare and government intervention. Synthesis is therefore not a luxury — it is the L3 boundary condition.

This document maps the **ten highest-value synthesis pairs** in the syllabus, with the linking mechanism and the framework move that captures the mark.

The Synthesis Principle

A script that runs one topic deeply earns L2. A script that connects two topics — explicitly, with mechanism — earns L3.

2 Question Type

Trigger words in question	Synthesis required
“trade-offs”, “conflicting”	Two macro aims (inflation vs. growth, etc.)
“in the long run”, “persistent”	Short-run macro → long-run supply-side
“open economy”, “small”	Domestic macro → exchange rate / BoP
“inequality”, “equity”	Efficiency → equity
“policy mix”, “alone”	Multi-instrument coordination

3 Why This Technique Works

A single-topic answer treats the economy as a partial-equilibrium system. The real economy is general-equilibrium: changing one variable changes others. Synthesis answers reflect this, and examiners reward them because they demonstrate the higher-order understanding that distinguishes L3 from L2.

4 Step-by-Step Technique

Synthesis in five moves

1. **Identify the primary topic** of the question.
2. **Identify the trigger word** that signals a second topic.
3. **Run the primary mechanism** (one paragraph).
4. **Pivot** with a connector phrase (Doc 25).

5. **Run the secondary mechanism** and re-evaluate the primary conclusion in light of it.

The Ten High-Value Synthesis Pairs

4.1 Pair 1 — Inflation $\times$ Exchange Rate

Trigger: “open economy”, “imported inflation”, “Singapore”.

Mechanism: Imported inflation raises CPI directly through the import-cost channel. An exchange-rate appreciation (S\$NEER) offsets this by lowering import prices in S\$ terms. The interaction is bidirectional: high inflation erodes export competitiveness if the currency does not adjust; a currency appreciation, sustained, can become contractionary.

Framework move: “In an economy with imports at 150% of GDP, the appreciation channel dominates the AD channel. Net effect on the price level is unambiguously downward, with only mild output cost.”

Linked docs: 13 (Inflation), 17 (Exchange Rate Systems), 19 (Monetary Policy).

4.2 Pair 2 — Growth $\times$ Inequality

Trigger: “inclusive growth”, “benefits all”, “distribution”.

Mechanism: Aggregate growth (rising real GDP) does not guarantee that all income deciles gain proportionately. Skill-biased technical change and globalisation raise returns to skilled labour, widening the wage gap. Redistribution (transfers, subsidies, progressive tax) can offset this; without it, headline growth coexists with rising Gini.

Framework move: “Singapore’s pre-transfer Gini fell from 0.472 (2010) to 0.435 (2024); post-transfer Gini fell further from 0.412 to 0.366. The active redistributive policy framework has more than offset the upward inequality pressure from globalisation.”

Linked docs: 15 (Growth), 18 (Fiscal Policy), 23 (Globalisation).

4.3 Pair 3 — Inflation $\times$ Unemployment

Trigger: “Phillips curve”, “trade-off”, “conflicting objectives”.

Mechanism: The short-run Phillips curve posits a negative relationship between inflation and unemployment. In the long run, expectations adjust and the curve is vertical at the natural rate. Stagflation (1970s) showed the curve can shift.

Framework move: “Demand-side policy moves the economy along the SR Phillips curve; supply-side policy shifts the entire curve inward. Singapore’s combined approach (MAS for inflation, SkillsFuture for the natural rate) addresses both.”

Linked docs: 13 (Inflation), 14 (Unemployment), 20 (Supply-Side Policies).

4.4 Pair 4 — Externality $\times$ Market Structure

Trigger: “optimal”, “allocative efficiency”, “intervention”.

Mechanism: Negative externalities push output above the social optimum under *perfect competition*. Monopoly restricts output below allocative efficiency. If a monopolist also generates a negative externality, the two distortions may partially offset — monopoly under-production gets closer to the social optimum than perfectly competitive over-production.

Framework move: “A polluting monopolist may produce closer to Q_s than a polluting perfectly competitive industry would. This is the ‘second-best’ result and matters for whether to break up the monopoly.”

Linked docs: 07 (Externalities), 09 (Market Structures), 10 (Government Intervention).

4.5 Pair 5 — Fiscal Policy × Crowding Out

Trigger: “effectiveness of fiscal policy”, “deficit”, “debt”.

Mechanism: Expansionary fiscal policy raises AD directly. If financed by borrowing, it raises interest rates, crowding out private investment. The net effect on Y depends on (i) the marginal product of public vs. private spending, (ii) the interest-elasticity of investment, (iii) whether the economy is at full employment.

Framework move: “At full employment, crowding out is one-for-one; in a recession, with idle resources, crowding out is minimal. Singapore’s fiscal stance must therefore be calibrated to the cyclical position.”

Linked docs: 11 (AD-AS), 18 (Fiscal Policy), 19 (Monetary Policy).

4.6 Pair 6 — Monetary Policy × Capital Flows

Trigger: “small open economy”, “impossible trinity”, “interest rate”.

Mechanism: The Mundell trilemma: a country can have at most two of (i) free capital mobility, (ii) a fixed/managed exchange rate, (iii) an independent monetary policy. Singapore chooses (i) and (ii), accepting that the SIBOR/SORA tracks US Fed rates. An attempt to set the domestic interest rate independently would trigger capital flows that move the exchange rate.

Framework move: “Because Singapore opts for an exchange-rate target with free capital flows, MAS does not — and operationally cannot — set the domestic interest rate. This is why the policy instrument is the S\$NEER and not a Fed-funds-style policy rate.”

Linked docs: 17 (Exchange Rate Systems), 19 (Monetary Policy), 16 (Balance of Payments).

4.7 Pair 7 — Globalisation × Structural Unemployment

Trigger: “displacement”, “adjustment”, “losing jobs”.

Mechanism: Globalisation shifts production toward comparative advantage. Sectors losing comparative advantage shed labour faster than gaining sectors absorb it, generating structural unemployment. The transition cost is concentrated; the long-run benefit is diffused.

Framework move: “Singapore’s SkillsFuture, PCP and CET frameworks are designed precisely to compress the transition cost. The presence of these policies is what makes openness politically and welfare-economically sustainable.”

Linked docs: 14 (Unemployment), 20 (Supply-Side Policies), 23 (Globalisation).

4.8 Pair 8 — Public Goods × Fiscal Policy

Trigger: “role of government”, “why does the state...”.

Mechanism: Pure public goods are non-rivalrous and non-excludable, so private markets under-provide. Government provision financed through general taxation overcomes the free-rider problem. The size of the public goods bundle determines the necessary fiscal envelope.

Framework move: “Singapore’s defence (3% of GDP), road infrastructure and disease surveillance are textbook public goods. Their provision rationalises both a permanent government revenue base and the use of broad-based taxation (e.g. GST).”

Linked docs: 08 (Public Goods), 18 (Fiscal Policy).

4.9 Pair 9 — Exchange Rate × Balance of Payments

Trigger: “current account deficit”, “export competitiveness”, “Marshall-Lerner”.

Mechanism: A currency depreciation raises export competitiveness and reduces import demand. The Marshall-Lerner condition states that this improves the trade balance only if the sum of demand elasticities exceeds unity, i.e. $|PED_X| + |PED_M| > 1$. The J-curve describes the short-run worsening before long-run improvement.

Framework move: “In the short run, contracts and habits make trade volumes inelastic — depreciation worsens the current account (the J-curve). In the long run, elasticities rise above unity and the balance improves. Time horizon is therefore central to the policy assessment.”

Linked docs: 16 (BoP), 17 (Exchange Rate Systems), 21 (International Trade).

4.10 Pair 10 — Information Failure × Merit Goods

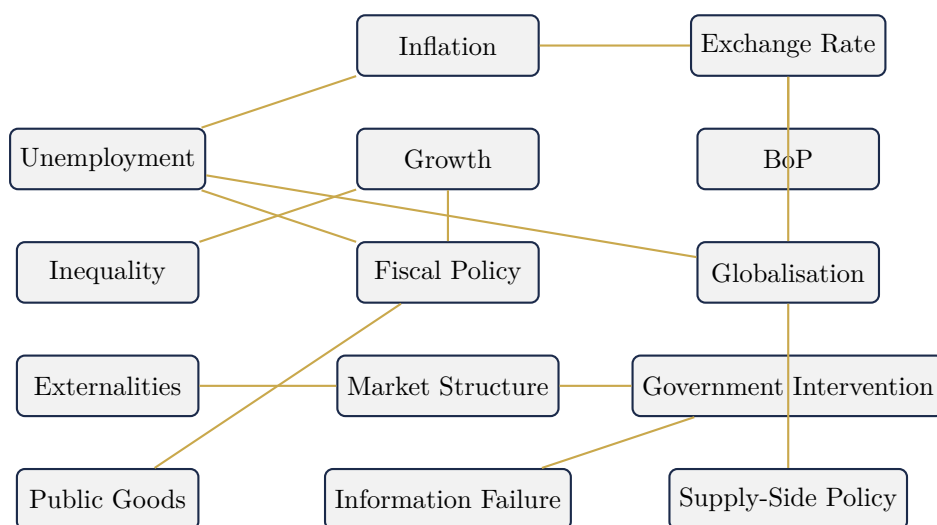
Trigger: “education”, “healthcare”, “why subsidise”.

Mechanism: Information failure leads consumers to under-value merit goods (they do not perceive the full private benefit, let alone the external benefit). Subsidies, mandates and education campaigns address this. Without information failure, the case for subsidising merit goods reduces to the externality argument alone.

Framework move: “Singapore’s CHAS, MediShield Life and Edusave schemes operate on the joint information-failure-plus-externality logic. Removing either rationale weakens but does not eliminate the case for intervention.”

Linked docs: 08 (Merit Goods + Info Failure), 10 (Government Intervention).

Synthesis Visual Map



Each gold line represents a synthesis pair that has appeared at least once in the TYS 2014–2024.

Worked Examples — Synthesis Pivots in Action

4.11 Example 1 — Inflation $\times$ Exchange Rate pivot

Worked Example

Question: “Discuss whether tight monetary policy is the appropriate response to inflation in Singapore.”

Primary topic: Monetary policy and inflation.

Single-topic L2 answer: “Tight monetary policy reduces AD and lowers inflation, but at the cost of lower output.”

L3 synthesis pivot: “However, in Singapore’s specific open-economy context, monetary policy operates through the exchange rate rather than the interest rate. Tightening means a faster S\$NEER appreciation, which works *directly* on import prices (the dominant inflation channel, given imports at 150% of GDP) and only secondarily on AD through net exports. The output cost is therefore much smaller than in a closed-economy framework, while the inflation gain is much larger. This reframes the conventional trade-off.”

4.12 Example 2 — Externality $\times$ Market Structure pivot

Worked Example

Question: “Discuss whether the government should break up a monopoly that pollutes.”

Primary topic: Monopoly and allocative efficiency.

Single-topic L2 answer: “A monopoly produces below the allocatively efficient output; breaking it up would raise output toward Q_{AE} .”

L3 synthesis pivot: “However, the firm also generates a negative production externality, meaning the social optimum Q_s is below the perfectly competitive output Q_{PC} . If the existing monopoly output happens to lie close to Q_s , breaking up the monopoly would move output away from the social optimum, not toward it. The first-best policy is therefore a Pigouvian tax targeting the externality directly, leaving the market structure question secondary.”

Practice Questions

Pair each question to the synthesis it requires.

1. Discuss whether Singapore's policy of currency appreciation has been more costly to its labour market than to its consumer prices.

Synthesis: Pair 1 + Pair 3.

2. Assess the view that the costs of globalisation to Singapore fall disproportionately on low-wage workers.

Synthesis: Pair 2 + Pair 7.

3. Discuss whether fiscal stimulus would have been more effective than monetary easing in addressing Singapore's 2020 downturn.

Synthesis: Pair 5 + Pair 6.

4. Discuss whether the case for government provision of healthcare in Singapore rests on externality or information-failure grounds.

Synthesis: Pair 8 + Pair 10.

5. Assess the proposition that breaking up the SP Group monopoly would improve consumer welfare.

Synthesis: Pair 4.

6. Discuss whether a depreciation of the S\$NEER would be effective in correcting a current account deficit in Singapore.

Synthesis: Pair 9.

Practice instruction

For each question above, write a synthesis-pivot paragraph only — 6–8 sentences. Do not write a full essay. This is a connector-drill, not an essay-drill. Aim to produce the pivot sentence from a cold start within 90 seconds.

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